

Reinsurance Treaty - EX2025001 - 2

Treaty Number:	EX2025001
Cedent:	Example Cedent Inc.
Reinsurer:	Example Reinsurer Corp.
Effective Date:	01 January 2025
Expiry Date:	31 December 2025
Treaty Type:	Proportional

QUOTA SHARE REINSURANCE TREATY

TREATY NUMBER: EX2025001_2

•

PARTIES TO THE TREATY

THE CEDING COMPANY:

Example Cedent Inc.
(hereinafter referred to as "the Company" or "the Reinsured")

THE REINSURER:

Example Reinsurer Corp.
(hereinafter referred to as "the Reinsurer")

•

ARTICLE 1: PERIOD OF COVER

1.1 Effective Date and Term

This Treaty shall become effective at 00:01 hours on ****1st January 2025**** and shall continue in force until 23:59 hours on ****31st December 2025****, both dates inclusive and both hours being local standard time at the head office of the Company.

****1.2 Risks Attaching Basis****

This Treaty shall apply to all business incepting or renewing during the Period of Cover as defined in Article 1.1, regardless of when losses occur.

****1.3 Run-off****

The liability of the Reinsurer shall continue after expiration of this Treaty in respect of losses occurring under policies attaching during the Period of Cover until all such policies have expired.

•

ARTICLE 2: BUSINESS COVERED

****2.1 Classes of Business****

This Treaty shall apply to the following classes of business written by the Company:

- Property Damage (Commercial and Industrial)
- Business Interruption (Consequential Loss)
- General Third Party Liability
- Products Liability
- Professional Indemnity
- Employers' Liability

****2.2 Territorial Scope****

This Treaty shall cover risks located in or business written from the following territories:

- United Kingdom
- Republic of Ireland
- European Union Member States
- European Economic Area

****2.3 Excluded Business****

The following classes of business are specifically excluded from this Treaty:

- a) Marine, Aviation, and Transit risks
- b) Nuclear energy risks and radioactive contamination
- c) War, terrorism, and political risks (unless specifically covered by the original policy)
- d) Cyber and data breach liability (as primary coverage)
- e) Asbestos-related claims
- f) Pollution liability (as primary coverage)
- g) Financial guarantee and credit insurance
- h) Life, Accident, and Health insurance
- i) Reinsurance assumed from other insurers
- j) Any business written on a claims-made basis with a retroactive date prior to 1st January 2025

•

ARTICLE 3: REINSURANCE SHARE AND RETENTION

****3.1 Quota Share Participation****

The Reinsurer agrees to accept ****60%**** (sixty percent) of all business as defined in Article 2 (hereinafter referred to as "the Reinsurance Share").

The Company shall retain for its own account ****40%**** (forty percent) of all such business (hereinafter referred to as "the Retention").

****3.2 Application of Share****

The Reinsurance Share shall apply uniformly to:

- All premiums (gross of acquisition costs)
- All losses and loss adjustment expenses
- All policy liabilities
- All return premiums and cancellations

****3.3 Whole Account Basis****

This Treaty operates on a whole account basis for all classes of business defined in Article 2. The Company shall not have the option to select individual risks for cession or retention beyond the agreed percentages.

•

ARTICLE 4: LIMIT OF LIABILITY

****4.1 Per Risk Limit****

The liability of the Reinsurer in respect of any one risk shall not exceed:

****EUR 6,000,000**** (Six Million Euros) being 60% of EUR 10,000,000

****4.2 Per Event Limit****

In respect of any one event involving multiple risks, the liability of the Reinsurer shall not exceed:

****EUR 30,000,000**** (Thirty Million Euros) being 60% of EUR 50,000,000

****4.3 Annual Aggregate Limit****

The total liability of the Reinsurer under this Treaty for all losses during the Period of Cover shall not exceed:

****EUR 60,000,000**** (Sixty Million Euros)

****4.4 Definition of One Risk****

For the purposes of this Treaty, "one risk" shall mean:

- One policy, or
- All policies covering the same insured interest at the same location, or
- In the case of liability insurance, one insured entity under one policy

****4.5 Definition of One Event****

"One event" shall mean one occurrence or series of occurrences arising from one cause, including but not limited to:

- Windstorm, hurricane, tornado, or hail
- Earthquake or volcanic eruption
- Flood or inundation
- Explosion or fire
- Riot, civil commotion, or malicious damage
- Any single act, error, or omission giving rise to multiple liability claims
-

ARTICLE 5: PREMIUM

****5.1 Premium Basis****

The Company shall cede to the Reinsurer 60% of the gross written premium on all business covered by this Treaty.

Gross written premium shall include:

- All policy premiums
- Policy fees and charges
- Additional premiums and endorsements
- Premium adjustments and audits

Gross written premium shall exclude:

- Taxes, levies, and government charges
- Fronting fees (where applicable)

****5.2 Estimated Annual Premium Income****

The estimated gross written premium income for the Period of Cover is:

****EUR 85,000,000**** (Eighty-Five Million Euros)

The Reinsurer's estimated premium share is:

****EUR 51,000,000**** (Fifty-One Million Euros)

****5.3 Minimum and Deposit Premium****

A minimum and deposit premium of ****EUR 40,800,000**** (Forty Million Eight Hundred Thousand Euros), representing 80% of the estimated premium share, shall be payable as follows:

- 25% on 1st January 2025
- 25% on 1st April 2025
- 25% on 1st July 2025
- 25% on 1st October 2025

****5.4 Premium Adjustments****

Premium adjustments shall be calculated and settled quarterly within 60 days following the end of each calendar quarter based on actual written premium during that quarter.

****5.5 Final Premium Adjustment****

A final premium adjustment shall be made within 90 days following the expiration of this Treaty based on actual gross written premium for the entire Period of Cover.

****5.6 Currency****

All premium transactions shall be settled in ****EUR (Euros)**** unless otherwise agreed in writing.

•

ARTICLE 6: CEDING COMMISSION

****6.1 Commission Rate****

The Reinsurer shall allow the Company a ceding commission of ****32.5%**** (thirty-two point five percent) of the reinsurance premium ceded.

****6.2 Commission Components****

The ceding commission is intended to cover:

- Acquisition costs (approximately 22%)
- Administrative expenses (approximately 8%)

- Premium taxes and assessments (approximately 2.5%)

****6.3 Payment of Commission****

Ceding commission shall be offset against premium payments due to the Reinsurer and shall be calculated on the same basis and frequency as premium settlements.

•

ARTICLE 7: PROFIT COMMISSION

****7.1 Profit Commission Calculation****

Subject to the conditions set forth in this Article, the Reinsurer shall pay to the Company a profit commission calculated as follows:

****Profit Commission = 20% of Underwriting Profit****

Where Underwriting Profit is defined as:

****Underwriting Profit = Reinsurance Premium - Ceding Commission - Incurred Losses - Loss Adjustment Expenses - Carried Forward Loss****

****7.2 Definitions for Profit Commission****

a) ****Reinsurance Premium:**** Total premium ceded to the Reinsurer during the Period of Cover, including adjustments

b) ****Ceding Commission:**** Total commission paid as per Article 6

c) ****Incurred Losses:**** All losses paid plus outstanding loss reserves at the end of the Period of Cover, less outstanding loss reserves at the beginning of the Period of Cover

d) ****Loss Adjustment Expenses:**** All loss adjustment expenses incurred, whether allocated or unallocated

e) ****Carried Forward Loss:**** Any deficit from the previous treaty year (if applicable)

****7.3 Profit Commission Conditions****

Profit commission shall only be payable if:

- a) The Loss Ratio (Incurred Losses ÷ Reinsurance Premium) does not exceed ****65%****
- b) The Combined Ratio (Loss Ratio + Expense Ratio - Ceding Commission Rate) does not exceed ****95%****
- c) All premium and loss accounts have been settled

****7.4 Profit Commission Sliding Scale****

| Loss Ratio | Profit Commission Rate |

|-----|-----|

| 0% - 45% | 25% |

| 45.01% - 55% | 20% |

| 55.01% - 65% | 15% |

| Above 65% | 0% |

****7.5 Payment of Profit Commission****

Profit commission, if any, shall be calculated and paid within 180 days following the expiration of this Treaty, subject to:

- Completion of the final premium adjustment
- Agreement of loss reserves by both parties
- Receipt of all necessary accounting statements

****7.6 Provisional Profit Commission****

No provisional profit commission shall be paid during the Period of Cover.

****7.7 Development Period****

The profit commission calculation shall be subject to review and adjustment at 12, 24, and 36 months following expiration based on actual loss development.

•

ARTICLE 8: LOSSES

****8.1 Loss Participation****

The Reinsurer shall be liable for 60% of all losses covered by policies subject to this Treaty, subject to the limits set forth in Article 4.

****8.2 Loss Definition****

"Loss" or "Losses" shall include:

- All amounts paid or payable to or on behalf of the insured
- Loss adjustment expenses (both allocated and unallocated)
- Legal costs and expenses
- Investigation costs
- Claims handling expenses
- Salvage and subrogation expenses (net of recoveries)

****8.3 Loss Adjustment Expenses****

Loss adjustment expenses shall be included within the limits of liability and shared in the same proportion as losses.

The following shall be considered loss adjustment expenses:

- External claims adjusters' fees
- Legal fees and court costs
- Expert witness fees
- Investigation costs directly attributable to specific claims
- A proportionate share of internal claims department expenses

****8.4 Ex Gratia Payments****

Ex gratia payments shall not be recoverable under this Treaty unless the Reinsurer has given prior written consent.

****8.5 Policy Limits****

The Reinsurer's liability shall not exceed the Reinsurance Share of the applicable policy limit, regardless of any judgment or settlement in excess of such limit.

•

ARTICLE 9: LOSS SETTLEMENTS

****9.1 Loss Advices****

The Company shall advise the Reinsurer of all losses as follows:

- a) ****Immediate Advice:**** Within 72 hours for any loss where the Company's estimated ultimate net loss exceeds EUR 2,000,000
- b) ****Monthly Advice:**** For all other losses exceeding the Company's net retention of EUR 100,000
- c) ****Quarterly Bordereaux:**** Summary of all losses, including those below reporting thresholds

****9.2 Loss Information Requirements****

Loss advices shall include:

- Policy number and insured's name
- Date and description of loss
- Policy limits and deductibles
- Company's estimated ultimate loss
- Reinsurer's share of the loss
- Amounts paid to date
- Outstanding reserves
- Any relevant claims documentation

****9.3 Loss Settlements - Frequency****

Loss settlements shall be made quarterly within 30 days following the end of each calendar quarter.

****9.4 Cash Loss****

Cash loss provisions shall apply whereby the Reinsurer shall pay its share of actual losses paid by the Company on a quarterly basis, with reserve movements reconciled annually.

****9.5 Currency of Loss Settlement****

Loss settlements shall be made in the same currency as premium settlements (EUR) unless the original loss was paid in a different currency, in which case the exchange rate at the date of payment by the Company shall apply.

****9.6 Interest on Overdue Balances****

Interest shall accrue on overdue balances at the rate of ****EURIBOR + 2%**** per annum, calculated daily from the due date until payment is received.

•

ARTICLE 10: CLAIMS CONTROL

****10.1 Claims Handling Authority****

The Company shall have full authority to investigate, negotiate, defend, settle, and pay all claims without reference to the Reinsurer, provided that:

- a) The Company acts in accordance with sound insurance practice
- b) The Company complies with policy terms and conditions
- c) The Company exercises the same degree of care as if uninsured

****10.2 Large Loss Consultation****

For any loss where the estimated ultimate loss to the Reinsurer exceeds ****EUR 3,000,000****, the Company shall:

- a) Provide detailed loss information within 10 business days
- b) Consult with the Reinsurer on settlement strategy
- c) Provide regular updates at least monthly
- d) Obtain Reinsurer's consent before settling (consent not to be unreasonably withheld)

****10.3 Reinsurer's Rights****

The Reinsurer shall have the right to:

- Inspect all claim files and documentation
- Attend settlement negotiations
- Appoint assessors or investigators at its own expense
- Make recommendations regarding claim handling

However, the Reinsurer shall not have the right to direct the Company's claims handling unless specifically agreed in writing.

****10.4 Cooperation****

Both parties agree to cooperate fully in the investigation, defense, and settlement of all claims, including:

- Sharing of information and documentation
- Coordination of coverage positions
- Joint retention of experts where appropriate
- Coordination of subrogation and recovery efforts

****10.5 Follow the Settlements****

The Reinsurer agrees to follow the settlements of the Company, provided that:

- a) The Company has acted in good faith
- b) The settlement is within policy terms and conditions
- c) The Company has complied with the claims control provisions of this Treaty
- d) The settlement is not manifestly unreasonable

-

ARTICLE 11: SALVAGE AND SUBROGATION

****11.1 Salvage Rights****

All salvage shall be applied to reduce the gross loss before calculation of the Reinsurer's share.

The Company shall use reasonable efforts to secure salvage and shall account to the Reinsurer for its proportionate share of all salvage recoveries, less the reasonable costs of securing such salvage.

****11.2 Subrogation Rights****

The Reinsurer shall be entitled to its proportionate share of all subrogation recoveries, less the reasonable costs and expenses of securing such recoveries.

****11.3 Control of Recoveries****

The Company shall have full authority to pursue or compromise subrogation claims without reference to the Reinsurer, unless the Reinsurer's potential recovery exceeds EUR 1,000,000, in which case the Company

shall consult with the Reinsurer.

****11.4 Allocation of Recoveries****

Recoveries shall be allocated as follows:

- a) First, to reimburse costs and expenses of recovery
- b) Second, to reduce paid losses on a proportionate basis
- c) Third, to reduce outstanding loss reserves on a proportionate basis

****11.5 Reinsurer's Participation in Recovery Costs****

The Reinsurer may elect to participate in recovery costs beyond its proportionate share in order to increase its potential recovery. Such election must be made in writing within 30 days of notification of the recovery opportunity.

•

ARTICLE 12: EXTRA-CONTRACTUAL OBLIGATIONS (ECO) AND EXCESS OF POLICY LIMITS (XPL)

****12.1 ECO/XPL Coverage****

This Treaty shall cover the Reinsurer's proportionate share of Extra-Contractual Obligations and amounts in excess of policy limits, subject to the following conditions:

****12.2 Covered ECO/XPL****

The following are covered:

- Bad faith damages
- Punitive or exemplary damages (where insurable by law)
- Excess judgments due to the Company's failure to settle within policy limits
- Statutory penalties for claims handling violations
- Compensatory damages for emotional distress arising from claims handling

****12.3 Excluded ECO/XPL****

The following are excluded:

- Fines and penalties imposed on the Company for regulatory violations
- Damages arising from fraud or criminal acts by the Company
- Amounts in excess of policy limits due to the Company's insolvency
- Punitive damages where not insurable by law

****12.4 Conditions for ECO/XPL Coverage****

Coverage for ECO/XPL is subject to:

- a) The Company having acted in good faith
- b) The Company having complied with all policy terms and conditions
- c) The Company having exercised due care in claims handling
- d) The Reinsurer having been notified of the potential ECO/XPL exposure as soon as reasonably practicable
- e) The Reinsurer

Document generated on 12 December 2025 - Confidential